Economics - K-12 Level Assessment 5 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Which is true of monopolistic competition?
   - (a) Firms earn long-run economic profits.
   - (b) P = MR = MC = ATC.
   - (c) Firms spend money to differentiate and advertise their products.
   - (d) In the long run the market is allocatively efficient.
2. Which of the following is not a characteristic of a kinked demand curve?
   - (a) A range of marginal costs over which MR = MC.
   - (b) P < MC.
   - (c) Interdependence of rivals.
   - (d) Pricing at the kink.
3. The government can promote economic growth by
   - (a) setting a minimum wage.
   - (b) regulating industry.
   - (c) taxing firms that waste resources.
   - (d) job training programs.
4. When both short-run aggregate supply and aggregate demand increase which of the following can be said for certain?
   - (a) The price level rises but real GDP falls.
   - (b) Both the price level and real GDP rise.
   - (c) The price level rises but the change in real GDP is uncertain.
   - (d) Real GDP rises but the change in the price level is uncertain.
5. How does an increasing national debt impact the market for U.S. dollars and the value of the dollar with respect to other currencies? MARKET FOR THE DOLLAR VALUE OF THE DOLL
   - (a) Increased demand Appreciating
   - (b) Increased supply Appreciating
   - (c) Decreased supply Depreciating
   - (d) Decreased demand Depreciating

True / False (10 marks)

Answer True or False

6. True or False: The government can effectively avoid a free rider problem by supplying public goo
7. True or False: Exports from a firm, like computers to China, contribute directly to a country's GDF
8. True or False: In a monopoly, the price is greater than the marginal revenue, leading to different
9. True or False: Households send goods and services to firms in return for resources and spending
10. True or False: If prices rise in the United States relative to other countries, the value of the dollar

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the similarities between perfect competition and monopolistic competition, focusing on th market dynamics?
12. Discuss the concept of opportunity cost in economics. Explain how it affects decision-making and provide examples of choices that involve foregone alternatives.

End of Paper